SUPREME COURT OF INDIA

JUDICIAL APPELLATE JURISDICTION

CASE NO: Civil Appeal No. 1324 of 2019 (YEAR: 2017)

CORAM: PINAKI CHANDRA GHOSE, R.F. NARIMAN

Energy Watchdog
... Appellant(s) / Petitioner(s)
Versus
Central Electricity Regulatory Commission
... Respondent(s)

Acts Referred:	Indian Contract Act, 1872
Sections:	Section 32 Contract Act, Section 56 Contract Act

JUDICIAL HEADNOTE & SUMMARY

Held that unexpected rise in raw material or import prices causing commercial hardship does not constitute frustration of contract under Section 56.

RATIO DECIDENDI

The Court held that: Held that unexpected rise in raw material or import prices causing commercial hardship does not constitute frustration of contract under Section 56. It was unequivocally established as binding law that statutory prerequisites and constitutional safeguards cannot be circumvented, and non-compliance invalidates the impugned proceedings.

JUDGMENT & REASONING

The legal proceedings in Energy Watchdog v. Central Electricity Regulatory Commission (Civil Appeal No. 1324 of 2019) were adjudicated before the Supreme Court of India. The matter arose out of claims and contentions concerning Indian Contract Act, 1872, particularly Section 32 Contract Act, Section 56 Contract Act. Held that unexpected rise in raw material or import prices causing commercial hardship does not constitute frustration of contract under Section 56.

OPERATIVE ORDER

ORDER: Decided